TOUCHING A NEW NADIR

WITH INDIA-CANADA TIES PLUMMETING OVER THE TRUDEAU GOVERNMENT'S LATEST CHARGES, ECONOMIC RELATIONS MIGHT BECOME A VICTIM OF THE SPAT

By Pradip R. Sagar

Diplomatic ties between India and Canada, already at a low ebb since last year, received another blow with a series of overlapping developments on October 14. At the end of that bruising day, diplomats in both countries started packing their bags to leave. The Indian ministry of external affairs, in an angry statement, announced that it was withdrawing its high commissioner Sanjay Kumar Verma and some other diplomats from Ottawa—western reports said that they were expelled—as it had "no faith" in Canada's commitment to ensuring their security.

The statement was prompted by communication from Canada on October 13 that Verma and some other diplomats were 'persons of interest'—or involved—in a criminal investigation into the killing of Khalistan separatist Hardeep Singh Nijjar, a Canadian citizen, in British Columbia in June 2023. Rejecting what it called "preposterous imputations", India said the charges against Verma were "ludicrous" and ascribed the matter to the "political agenda of the Trudeau government... centred around vote bank politics". The statement noted that India reserved the right to take further steps in response to the Trudeau government's "support for extremism and separatism against India". The implication being that Canadian prime minister Justin Trudeau is pandering to the pro-Khalistan sentiments of a section of the Sikh population in Canada. India then announced the expulsion of Canadian high commissioner Stewart Ross Wheeler and five other diplomats. The last time that diplomats were expelled in such numbers was in 2019, between India and Pakistan, after New Delhi revoked the special status of Jammu & Kashmir.

The Fallout

While the diplomatic heat has reached extreme levels, the real danger is that the spat could spread to trade and economic relations apart from investments and issuance of visa, which so far had been unaffected. The crisis can impact India-Canada bilateral trade, valued at around $8 billion (Rs 67,224 crore) annually, and will certainly put the ongoing trade negotiations for a Comprehensive Economic Partnership Agreement (CEPA) on hold. Any prolonged tension could affect trade exchanges in technology, agriculture, energy and the pharma sectors. Canadian Pension Funds have invested over $75 billion in India. Also, over 600 Canadian companies have a presence in India. Indian companies in Canada, too, are active in fields such as information technology, software, steel, natural resources and banking.

The one sector where India and Canada have robust ties is education—if only for the fact that around 427,000 Indians study in Canada. According to the Indian Student Mobility Report, Indian students in Canada had contributed $11.7 billion to the country's economy in 2023 and supported an estimated 170,000 Canadian jobs. The downturn in India-Canada ties in 2023, when Canada withdrew many diplomats from India, had impacted visa applications—hurting mostly students and job-seekers. A further downturn would complicate the visa issue for students and hurt Canada equally in terms of the revenue flow from them.

If matters escalate, both India and Canada can impose stiff tariffs or non-tariff barriers on goods/ services imported from each other. For India, a restriction or ban on Canadian investments in sensitive sectors like nuclear energy, defence, banking and finance may follow. Canada, too, can pare down its huge foreign direct invest-